

ECONOMICS

Paper 1 Multiple Choice

45 minutes

0455/11**Predicted Paper 2026**

[Difficulty Level: HARD]

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet

Soft clean eraser

Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are thirty questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the one you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do not use correction fluid.
- Do not write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is **30**.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

- 1 A farmer can grow either wheat or rice on a plot of land but not both at the same time. This situation best illustrates:
- A a failure of the market system
 - B the concept of scarcity and the need for choice
 - C the effect of government regulation
 - D the law of diminishing returns
- 2 A worker can earn \$25 per hour in Job A or \$18 per hour in Job B. She chooses Job A. What is her opportunity cost per hour?
- A \$0
 - B \$7
 - C \$18
 - D \$25
- 3 A country's economy is operating at a point inside its production possibility curve (PPC). What change would move the economy onto the PPC?
- A a fall in labour productivity
 - B a reduction in unemployment of existing resources
 - C an increase in capital goods
 - D an outward shift of the PPC
- 4 In a free market, demand for a product rises and supply falls at the same time. Which statement is certain?
- A equilibrium price will fall
 - B equilibrium price will rise
 - C equilibrium quantity will fall
 - D equilibrium quantity will rise
- 5 Why might the quantity demanded of a good fall even when its price falls?
- A consumers expect prices to fall further in the future
 - B it is a normal good and income has risen
 - C it is an inferior good and income has fallen
 - D the price of a complement has fallen
- 6 A new tax is imposed on the producers of a good. What is the most likely effect on the market diagram?
- A demand curve shifts to the left
 - B demand curve shifts to the right
 - C supply curve shifts to the left
 - D supply curve shifts to the right
- 7 The price of a product rises by 20% and the quantity demanded falls by 5%. What does this imply about demand?
- A it is perfectly elastic
 - B it is perfectly inelastic
 - C it is price elastic
 - D it is price inelastic

- 8** Which is a feature of a mixed economy?
- A** all production is state-owned
 - B** only the price mechanism allocates resources
 - C** the government and the private sector both produce goods and services
 - D** there is no role for central planning
- 9** The government introduces a subsidy on a product. What is the most likely effect?
- A** equilibrium price rises and quantity falls
 - B** equilibrium price rises and quantity rises
 - C** equilibrium price falls and quantity falls
 - D** equilibrium price falls and quantity rises
- 10** What is the main source of profit for a commercial bank?
- A** collecting taxes for the government
 - B** printing new currency
 - C** setting interest rates for the economy
 - D** the difference between interest on loans and interest on deposits
- 11** A household's disposable income is \$5 000 per month and it saves \$500. When disposable income rises to \$6 000, spending rises to \$5 300. What is the marginal propensity to save (MPS) out of the additional income?
- A** 0.20
 - B** 0.30
 - C** 0.70
 - D** 0.80
- 12** What would most likely reduce the supply of labour to the nursing profession?
- A** a decrease in wages in other healthcare careers
 - B** a rise in the number of nursing training places
 - C** an increase in public respect for nurses
 - D** an increase in wages in alternative occupations
- 13** Which aim is least likely to be pursued by a trade union?
- A** better working conditions
 - B** higher pay for members
 - C** higher unemployment in the industry
 - D** improved job security
- 14** A firm experiences diseconomies of scale. Which change in cost is most likely?
- A** average cost decreases as output rises
 - B** average cost increases as output rises
 - C** fixed cost decreases as output rises
 - D** variable cost decreases as output rises

- 15** A firm has fixed costs of \$4 000 and variable costs of \$6 per unit. Its selling price is \$10 per unit. How many units must it sell to break even?
- A** 400
 - B** 667
 - C** 1 000
 - D** 4 000
- 16** A firm raises its price from \$8 to \$10. Quantity demanded falls from 100 units to 70 units. What is the change in total revenue?
- A** decreases by \$100
 - B** decreases by \$30
 - C** increases by \$100
 - D** no change
- 17** Which pair of macroeconomic aims is most likely to conflict in the short run?
- A** economic growth and full employment
 - B** low inflation and full employment
 - C** low inflation and price stability
 - D** price stability and a balance of payments surplus
- 18** A government's tax revenue exceeds its expenditure. This is called:
- A** a balanced budget
 - B** a budget deficit
 - C** a budget surplus
 - D** national debt
- 19** A central bank raises its key interest rate. What is the most likely immediate effect?
- A** a fall in exports
 - B** a rise in borrowing by consumers
 - C** a rise in consumer spending
 - D** a rise in saving by households
- 20** Which is NOT a supply-side policy?
- A** cutting corporation tax to encourage investment
 - B** increasing unemployment benefits
 - C** investing in infrastructure
 - D** privatising state-owned industries

- 21** A long and deep recession causes some factories to permanently close and some skilled workers to emigrate. Which row shows the most likely short-term and long-term effects on the economy's production possibility curve (PPC)?

	short-term effect on the PPC	long-term effect on the PPC
A	movement to a point inside the PPC	shift of PPC to the right
B	movement to a point inside the PPC	no change to the PPC
C	movement to a point inside the PPC	shift of PPC to the left
D	shift of PPC to the right	shift of PPC to the left

- 22** A country specialises in exporting a primary commodity. World demand for the commodity falls sharply. What is the most likely short-run effect?

- A** a fall in export revenue
- B** a rise in exchange rate
- C** a rise in wages
- D** falling unemployment

- 23** The table shows employment, in millions, in selected industries of a country in year 1 and year 2.

industry	year 1	year 2
agriculture	8	6
mining	4	3
manufacturing	10	8
construction	6	7
retailing	12	16
total	40	40

What was the overall change in the structure of employment?

- A** primary and secondary sectors rose; tertiary fell
 - B** primary and secondary sectors fell; tertiary rose
 - C** all three sectors fell in size
 - D** primary rose; secondary and tertiary fell
- 24** Which is the most likely cause of cost-push inflation?
- A** a fall in the exchange rate raising import prices
 - B** a rise in consumer confidence
 - C** a rise in government spending on infrastructure
 - D** a rise in the money supply
- 25** Which measures poverty by comparing an individual's income to the median income of a country?
- A** absolute poverty
 - B** nominal poverty
 - C** real poverty
 - D** relative poverty

- 26** An ageing population is most likely to cause:
- A** an increase in the size of the working-age population
 - B** higher government spending on healthcare and pensions
 - C** lower government spending on welfare
 - D** a lower old-age dependency ratio
- 27** Under the theory of comparative advantage, a country should specialise in goods for which its:
- A** absolute advantage is highest
 - B** export market is largest
 - C** opportunity cost of production is lowest
 - D** workforce is most numerous
- 28** What is the difference between a tariff and a quota?
- A** a tariff applies only to exports; a quota applies only to imports
 - B** a tariff is a physical limit on imports; a quota is a tax on imports
 - C** a tariff is a tax on imports; a quota is a physical limit on imports
 - D** tariffs are set by producers; quotas are set by the central bank
- 29** A country has a floating exchange rate. Its central bank raises interest rates significantly. What is the most likely effect on the exchange rate?
- A** appreciation due to capital inflows
 - B** depreciation due to capital outflows
 - C** depreciation due to reduced exports
 - D** no change
- 30** A persistent current account deficit is most likely to be financed by:
- A** inflows of foreign investment and borrowing
 - B** export revenue from primary goods
 - C** government budget surpluses
 - D** the central bank printing more money